LIFE UNDERWRITING HANDBOOK FOR AGENTS

Providing Quality Service

THE CINCINNATI LIFE INSURANCE COMPANY

Everything Insurance Should Be®

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Form CLI-20019 (8/24)

Agent Information Only

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CINCINNATI LIFE UNDERWRITING HANDBOOK

This handbook is your guide to Cincinnati Life underwriting, our requirements, procedures and underwriting criteria. We provide updates to keep you aware of changes as they may occur.

Offering you quality service, creative underwriting and innovative technology is our goal. You will find several options that simplify and expedite the life insurance application and underwriting processes. You may complete and submit life applications electronically. Electronic submission, updated underwriting requirements and some improved underwriting class criteria arm you with a renewed competitive edge.

UNDERWRITING PROCESS FOR ORDINARY LIFE

Our underwriters depend on many sources for the information needed to provide your client the best possible offer. You can help expedite the process by accurately completing the application, including all medical questions and all other state- or company-required forms. Complete medical information is always helpful, even when a medical exam is required. Alerting your underwriter to a health concern allows for appropriate actions based on the information you provide instead of waiting for medical exam results. You can easily access required information by using our Life e-App.

Electronic submission

You can complete and submit the formal life application and simplified Lite application electronically, making it faster and easier for you and your clients. The Cincinnati Life e-App process provides numerous advantages:

- Increase productivity. Easy to use and no extra equipment needed; just a connection to our agency portal
- Reduce errors. Always have the correct product forms required by the state and by Cincinnati Life
- Reduce paper use. No need to keep an inventory of forms
- Complete the application face-to-face or by email
- Obtain signatures electronically
- Eliminate any waiting period by getting the forms immediately in front of your client for signature
- Save postage cost and time
- Send directly to ExamOne, a Quest Diagnostic Company, after submitting the application to Cincinnati Life headquarters (Lite application only)

To begin using the Life e-App, please ask your agency's site administrator to add this role to the My Tools list on the agency portal. Learn more by viewing the short introductory video in the Learning Center:

- Log in to Agency Portal
- Go to Learning and select Learning Center
- Go to Learning Catalog Search and enter LFO200, then choose GO
- Click LAUNCH to begin the course (you may need speakers)

Please contact your life sales field representative or your headquarters life underwriting representative to learn how your agency can begin using this beneficial tool.

Lite application

Simplify your life by taking advantage of our teleunderwriting Lite application process (also known as a teleapp). This service is available for applicants age 18 and older applying for a minimum face amount of $100,000.

Here's how it works:

- Complete the simplified application Form CLI-1019. Please include all required information and print legibly. Contact information (phone number, day and time) is especially important.
- Fax only the application to ExamOne, 800-395-9457.
- Send the original application and other required application forms (HIV consent, medical authorization, replacement forms, pre-authorized withdrawal requirements and premium) to Cincinnati Life headquarters.
- ExamOne conducts a telephone interview with the applicant to obtain medical history and additional information typically included on the standard life application. Next, ExamOne schedules an appointment to complete necessary medical requirements. Then, ExamOne sends us information electronically from the interview.
- When the medical requirements are complete, blood and urine specimens are sent to ExamOne. ExamOne performs the analysis on the specimens and sends the results to us electronically.

We use ExamOne exclusively for this service so you and your clients gain the benefit of streamlined scheduling, status reporting, quality control and cost containment. These advantages enable us to better meet your service expectations.

Underwriting Tip:

Follow these suggestions to assure your business flows as quickly and smoothly through the process as possible:

- Use this simplified process for the specified ages (18 and up) and amounts ($100,000 minimum) only.
- Fax only the application to 800-395-9457 and mail, email or fax the original to your case manager at Cincinnati Life headquarters with accompanying forms and payment without delay.
- Do not order paramedical services yourself.
- Let your client know the telephone interview lasts a minimum of 10 minutes and can be much longer if your client has significant medical history.
- To expedite the interview, please advise your client to have the following available:
  - Driver's license
  - Income and net worth
  - Names, addresses and phone numbers of physicians
  - Complete list of any medications your client is taking, dosage and the condition for which it is taken
  - Personal schedule so the interviewer can set up a date and time for the paramedical services
  - If business insurance, details regarding the structure of the business and financials

To check interview status online:

- Visit *portal.examone.com/login*
- Enter your last name and Social Security number
- Select GetStatus
- Under Teleunderwriting, select Status
- Choose the correct Order ID

Please allow at least 24 hours after you fax the application before checking its status.

By understanding the program, knowing what to expect and following the guidelines, you'll have great success with the Lite application teleunderwriting process.

MOST COMMON UNDERWRITING REQUIREMENTS

Medical

Amplified nonmedical exams, paramedical exams and physician's exams are required as indicated by age and amount in the Underwriting Requirements chart on Page 7.

An **amplified nonmedical exam** means that you complete the medical questions on the application, and a paramedical examiner records the client's height, weight, blood pressure and pulse.

A **paramedical exam** is an examination by a paramedic service consisting of an exam form (CLI-1696) plus height, weight, blood pressure, pulse and urine specimen.

For a **blood profile and urinalysis**, our lab kit must be used and sent to ExamOne. For underwriting purposes, blood results are valid for 12 months only. *Consent forms* are required where applicable by state. **Please advise your client to *fast for 4 hours* prior to the scheduled blood draw and to avoid strenuous exercise**.

For amounts of coverage over $500,000, applicants age 70 and above require a **Mature Assessment**. This is a series of questions, tests and light activities administered by the paramedical examiner. It supplements the physical exam and assesses mental attitude, mobility, memory and cognitive abilities. **APPS** and **ExamOne** are the ***only*** services approved to complete this requirement.

EKG tracings must be the original, ***uninterpreted*** tracings.

It is your responsibility to make arrangements for the medical requirements (except when using the Lite application process).

The paramedical facilities listed below are approved and recommended by Cincinnati Life. Each facility is familiar with our requirements and has the necessary supplies. Please refer to your local directory for the facility nearest your client:

- American Para Professional – 800-727-2101
- ExamOne – 877-933-9261
- MediPro Direct – 877-268-1021

Applicants may obtain lab results by going to *applicant.examone.com*.

Nonmedical

The underwriter determines if Cincinnati Life needs an Attending Physician Statement, Motor Vehicle Report or Inspection Report and orders these documents for you.

You can expect your underwriter to order an APS if the applicant has significant medical history, including but not limited to: diabetes, high blood pressure, cancer, heart attack, cardiovascular disease, asthma, digestive problems, nervous disorder (such as depression, anxiety or seizures) or alcohol and/or drug abuse treatment. However, you can help reduce the number of APS requests and expedite underwriting action by providing all pertinent details.

We'll order an MVR as needed for risk evaluation and/or determination of the proposed insured's rate class.

Inspection Reports

Inspection Reports are routinely ordered for life insurance amounts of over $3 million. An inspection report may be deemed necessary by the underwriter on an individual basis for lower amounts. Interviews are conducted over the phone. The questions asked are generally similar to those in the written application and physical exam.

Prior to beginning the questions, our representative verifies demographic information including name, address dated back for 10 years, Social Security number, date of birth, driver's license, etc. Questions are asked in the following categories and are not limited to a specific example.

Business
We request 10 years of employment history. This refers to employment status whether the applicant is employed, unemployed, a homemaker or retired. We request a description of the applicant's business/employer and applicant's duties. Questions about duties also address business-related air travel including number, frequency and (if international) the destination.

Health
This group of questions addresses tobacco, alcohol and drug use, driving history and arrest record.

Personal
Includes questions on activities outside of employment. These include routine sports/exercise and any hazardous activities such as aviation, racing and scuba diving.

Beneficiary
Includes questions to confirm or obtain the beneficiary and establish the purpose of the policy.

- **Spouse's name** – When listing a spouse as beneficiary, be sure a woman's name is shown as "Jane Doe" and not "Mrs. John Doe," so that there is no question of the proper beneficiary in the event of divorce and remarriage. Be clear by listing full first, middle and last names without courtesy titles.
- **Divorce** – Recommend reviewing beneficiary designations at the time of divorce. Many states automatically revoke the beneficiary designation of a spouse upon divorce, so it is important to review beneficiary designations and advise your client to discuss them with an attorney if they need assistance.
- **Minors** – Life insurance companies generally cannot pay the proceeds directly to minors. If there are minor children, alternatives include setting up a trust for their benefit or naming a custodian under the Uniform Transfers to Minors Act, rather than listing them as a life insurance beneficiary. An attorney can help with either of these options.
- **Contingent beneficiary** – It is always helpful to name a contingent beneficiary on a life insurance policy. If the primary beneficiary dies and the policyowner neglects to name a replacement, the insurance company can still pay policy proceeds to the contingent beneficiary. Without a contingent beneficiary, the proceeds are paid to the estate, and it will take longer for family members to receive policy proceeds.

If the purpose of the policy is business related, the life field representative needs to expand information on the business by completing a business beneficiary report.

Finances
Includes questions regarding public record items (bankruptcy, suits, liens, judgments) and basic information on spousal employment. If the applicant has existing life insurance, we ask for the name of the carrier and the benefit amount. If the applicant has ever had insurance refused, rated or canceled, we ask for details.

Income and net worth
This information is obtained based on the applicant's best estimates and includes an aggregate figure for each category. Unless otherwise instructed, we do not need exact figures or an itemized listing in any category addressed.

References
Larger face amounts may require the applicant's accountant information for use as a reference. This is obtained during the inspection report.

UNDERWRITING REQUIREMENTS

Where there is existing coverage with Cincinnati Life, contact your underwriter to determine the necessary requirements. An explanation of all requirements and terms is provided on the following page. See Financial Underwriting on Pages 13-14 for financial guidelines and requirements. All requirements are subject to underwriter discretion.

Age last birthday	Through $99,999	$100,000 through $249,999	$250,000 through $500,000	$500,001 through $2,999,999	$3,000,000	$3,000,001 through $5,000,000	$5,000,001 through $10,000,000	$10,000,001 and above
0-17	Ages 0 through 17 are all nonmedical, subject to special request by the underwriter. Teleunderwriting Lite applications are not appropriate for these ages.							
18-40	Nonmedical No Lite applications	Amp Blood HOS	Amp Blood HOS	Paramed Blood HOS	Paramed Blood HOS	Paramed Blood HOS TIR	Paramed Blood HOS TIR	Paramed Blood HOS TIR
41-50	Nonmedical No Lite applications	Amp Blood HOS	Amp Blood HOS	Paramed Blood HOS	Paramed Blood HOS	Paramed Blood HOS TIR	Paramed Blood HOS TIR	Paramed Blood HOS EKG TIR
51-60	Nonmedical No Lite applications	Amp Blood HOS	Paramed Blood HOS	Paramed Blood HOS	Paramed Blood HOS	Paramed Blood HOS TIR	Paramed Blood HOS EKG TIR	Paramed Blood HOS EKG TIR
61-69	Paramed HOS CS* No Lite applications	Paramed Blood HOS CS*	Paramed Blood HOS CS*	Paramed Blood HOS CS*	Paramed Blood HOS EKG CS*	Paramed Blood HOS EKG CS* TIR	Paramed Blood HOS EKG CS* TIR	Paramed Blood HOS EKG CS* TIR
70-above	Paramed HOS CS* No Lite applications	Paramed Blood HOS EKG CS*	Paramed Blood HOS EKG CS*	Paramed Blood HOS EKG CS* Mature Assess.**	Paramed Blood HOS EKG CS* Mature Assess.**	Paramed Blood HOS EKG CS* TIR Mature Assess.**	Paramed Blood HOS EKG CS* TIR Mature Assess.**	Paramed Blood HOS EKG CS* TIR Mature Assess.**

* Cognitive screening is required if applicant is applying for the Chronic Illness Rider.
** Mature Assessment must be completed by APPS or ExamOne.

EXPLANATION OF REQUIREMENTS AND TERMS

You are responsible for arranging the following requirements as specified by age and amount:

Amp
Amplified nonmedical – Agent completes the medical questions on the application, and paramedical examiner records the client's height, weight, blood pressure and pulse.

Blood
Blood profile – Proposed insured should be fasting 4 hours prior to blood draw. Our lab kit must be used in all cases and sent to ExamOne's lab. Blood results are valid only 12 months for underwriting purposes. Consent forms are required where applicable by state.

EKG
Electrocardiogram – must be original uninterpreted tracing.

HOS
Home office specimen – Urine sample collected by the paramedical service and sent to our lab for testing.

Mature assessment
A series of questions, tests and light activities administered by the paramedical examiner to supplement the physical exam and assess mental attitude, mobility, memory and cognitive abilities.

Nonmedical exam
Requires only our application with all medical questions completed.

Paramed
Paramedic exam – Examination by paramedical service consisting of medical questions on our exam form plus height, weight, blood pressure, pulse and urine specimen.

Cincinnati Life arranges these optional requirements:

APS
Attending physician's statement – Copies of the applicant's medical records may be required at the underwriter's discretion. The request is generated from Cincinnati Life headquarters; however, you or the applicant may help expedite by contacting the physician or facility and requesting priority handling.

CS
Cognitive screening – An interview, separate from the telephone inspection report, used to evaluate an applicant's cognitive ability.

MVR
Motor vehicle report – A report of your client's driving record can be very beneficial in considering a risk and placing an applicant in an appropriate rate class.

TIR
Telephone inspection report – Please advise your applicants that a Cincinnati Life representative will contact them for this interview. Include phone number(s) and best day(s) and times to contact the applicant(s) on the application. See Inspection Report in the Underwriting Requirements on Page 5 for full details.

UNDERWRITING CLASSES

Cincinnati Life offers six underwriting rate classes to help provide your clients the best rate available.

These classes allow us to identify insurance risks that demonstrate exceptional, good, average and below-average mortality experience. Placing each risk in the appropriate classification is essential in maintaining class integrity and competitive pricing. In order to maintain our strong premium structure, we must strictly adhere to our guidelines.

Nonsmoker classes

Preferred Plus
Preferred Plus is our best risk classification reserved for those who have not used tobacco or nicotine products in any form in the last five years and meet our Preferred Plus criteria.

Preferred
This class is for applicants who enjoy exceptionally good health, have not used tobacco or nicotine products in any form in the last three years and meet our Preferred criteria.

Standard Plus
This is available to applicants in good health who have not smoked cigarettes in the past year and meet all of the Standard Plus criteria. Some non-cigarette tobacco users may qualify.

Standard Nonsmoker
Includes non-cigarette tobacco users and non-tobacco users who do not meet Standard Plus criteria.

Smoker classes

Preferred Smoker
Available to applicants applying for $100,000 face amount or higher who have smoked cigarettes within the past year but otherwise meet the Preferred criteria. Past smokers still dependent on a nicotine substitute may qualify by meeting the same Preferred criteria.

Standard Smoker
Includes most applicants who have smoked cigarettes within the past year, past cigarette users still dependent on a nicotine substitute.

Note: At all ages and face amounts, the minimum requirements for Preferred Plus, Preferred and Standard Plus classes are an amplified nonmedical exam, blood profile and urinalysis.

Applications that give no admission of tobacco or nicotine product use, but urine is positive for nicotine, are subject to the Standard Smoker rate class. Secondhand smoke is rarely concentrated enough to be detected in a urinalysis. However, in the event urine is positive for nicotine in a non-tobacco user, the quantity is sufficient to affect health and the related mortality risk.

Class comparison based on multi-carrier software

Cincinnati Life	Compulife	iPipeline	Term4Sale	VitalQuote
Preferred Plus	Preferred Plus Nonsmoker	Preferred Best Non-Tobacco	Preferred Plus	Super Preferred Non-Tobacco
Preferred	Preferred Nonsmoker	Preferred Non-Tobacco	Preferred	Preferred Plus Non-Tobacco and Preferred Non-Tobacco
Standard Plus	Regular Plus Nonsmoker	Standard Plus Non-Tobacco	Regular Plus	Standard Plus Non-Tobacco
Standard Nonsmoker	Regular Nonsmoker	Standard Non-Tobacco	Regular Non-smoker	Standard Non-Tobacco and Tobacco Non-Cigarette
Preferred Smoker	Preferred Smoker	Preferred Tobacco	Preferred Plus and Preferred	Preferred Smoker and Standard Plus Smoker
Standard Smoker	Regular Smoker	Standard Tobacco	Regular Plus and Regular	Standard Smoker

UNDERWRITING CLASS CRITERIA

The following are guidelines. The final decision is based on all information received.

	Preferred Plus	Preferred	Standard Plus
Tobacco	No use in 5 years, urine negative Celebratory cigar*	No use in 3 years, urine negative Celebratory cigar*	No cigarette use within 1 year. Some tobacco users may qualify
Cholesterol	Total not > 240 Chol/HDL ratio 4.5 or less	Total not >250 Chol/HDL ratio 5.0 or less	Total not >280 Chol/HDL ratio 6.0 or less
Blood Pressure	Currently controlled and average reading in last 2 years (including treatment) does not exceed: 135/85 through age 60 145/85 age 61+	Currently controlled and average reading in last 2 years (including treatment) does not exceed: 140/85 through age 60 150/90 age 61+	Currently controlled and average reading in last 2 years (including treatment) does not exceed: 140/90 through age 60 150/90 age 61+
Personal History	No cardiovascular disease or cancer history, except basal cell and/or superficial squamous cell skin cancer	No cardiovascular disease or cancer history, except basal cell and/or superficial squamous cell skin cancer	No ratable impairment or cancer history, except basal cell and/or superficial squamous cell skin cancer
Family History	No cardiovascular or cancer death of a parent or sibling prior to 60 Disregard gender-specific cancers of the opposite sex, except for breast cancer	No more than 1 cardiovascular or cancer death in a parent prior to 60 Disregard gender-specific cancers of the opposite sex, except for breast cancer	No specific criteria
Residence	Permanent resident of U.S. for at least 3 years	Permanent resident of U.S. for at least 1 year	Permanent resident of U.S. for at least 1 year
Avocations (Hazardous)	None – recreational SCUBA up to depths of 75 feet is acceptable	Available if no flat extra premium would be required and not hazardous	May have flat extra
Aviation	Pilot and crew members on regularly scheduled passenger flights on major airlines with exclusion rider Private pilot with exclusion rider	Pilot and crew members on regularly scheduled passenger flights on major airlines Private pilot with exclusion rider	Major airlines only, private aviation with flat extra or exclusion rider
Motor Vehicle History	No more than 2 moving violations in 5 years; and no DUI, reckless operation, revocation or suspension in last 5 years	No DUI, reckless operation, revocation or suspension in last 5 years	No DUI, reckless operation, revocation, suspension in last 3 years
Alcohol/ Substance Abuse	No history of, or treatment for, alcohol or substance abuse	No history of, or treatment for, alcohol or substance abuse	No history of, or treatment for, alcohol or substance abuse
Impairments	No diseases, disorders or activities that would affect mortality	No diseases, disorders or activities that would affect mortality	No diseases, disorders or activities that would affect mortality

Build	Height Ft.	Height In.	Male Weight	Female Weight	Male Weight	Female Weight	Male Weight	Female Weight
	4	8	126	123	137	134	145	141
	4	9	131	127	142	139	150	146
	4	10	136	132	147	144	155	151
	4	11	141	137	152	149	161	157
	5	0	146	142	158	154	166	162
	5	1	150	147	163	159	172	167
	5	2	155	151	168	163	177	173
	5	3	160	156	173	168	183	178
	5	4	164	161	178	173	188	183
	5	5	169	165	183	178	194	189
	5	6	174	170	188	183	200	195
	5	7	179	175	193	188	206	200
	5	8	184	180	199	194	211	206
	5	9	189	185	204	199	217	211
	5	10	195	190	210	205	223	217
	5	11	200	195	215	210	229	222
	6	0	205	200	222	216	235	228
	6	1	211	206	227	222	241	234
	6	2	217	211	234	229	248	240
	6	3	222	217	240	235	255	246
	6	4	228	223	246	242	261	253
	6	5	234	229	253	248	268	259
	6	6	240	235	260	255	275	265
	6	7	245	241	266	261	282	272

* See Celebratory cigar on Page 11.

UNDERWRITING CLASS CRITERIA (cont'd)

Standard Nonsmoker, Preferred Smoker and Standard Smoker

As with Preferred Plus, Preferred and Standard Plus, the above classifications are based on:

- Tobacco (users of e-cigarettes are considered the same as a cigarette user)
  - Standard Nonsmoker: Includes some tobacco (except cigarette) users who do not fit Standard Plus criteria.
  - Preferred Smoker ($100,000 and above): Includes some tobacco users who do not fit Standard Nonsmoker criteria. **Smoking tobacco users applying for Preferred Smoker must:**
    - Meet Preferred medical requirements
    - Fit Preferred criteria, including Preferred Build Chart
  - Standard Smoker: Includes most cigarette users, past cigarette users still dependent on a nicotine substitute and other tobacco users who do not fit Preferred Smoker criteria.
- Other medical/nonmedical factors, such as the preferred criteria listed on Page 10

Build chart

Maximum weights of both male and female for Standard Nonsmoker and Standard Smoker.

Height	Weight	Height	Weight
4' 8"	165	5' 8"	243
4' 9"	171	5' 9"	250
4' 10"	177	5' 10"	258
4' 11"	183	5' 11"	265
5' 0"	189	6' 0"	273
5' 1"	196	6' 1"	280
5' 2"	202	6' 2"	288
5' 3"	209	6' 3"	296
5' 4"	215	6' 4"	304
5' 5"	222	6' 5"	312
5' 6"	229	6' 6"	320
5' 7"	236	6' 7"	328

Weights that exceed the above for corresponding heights **may** be subject to an additional premium charge. Contact underwriting for more information.

Substandard cases

You may write substandard cases using the Standard Nonsmoker and Standard Smoker classifications.

Avocations may warrant a flat extra premium on an otherwise Standard Plus risk.

Tobacco and marijuana usage

Use the following to help determine which underwriting class applies to your clients who use tobacco or marijuana products.

Non-smoking tobacco

- Smokeless tobacco, chewing tobacco, dip, snuff
- Cigar
- Pipe
- Urine specimen may be positive for nicotine
- Tobacco use must be reported on initial application

Smoking tobacco

- Cigarettes
- E-cigarettes, vape
- Hookah
- Nicotine substitute, such as gum, patch and others

Underwriting Classes	Non-smoking Tobacco Users	Smoking Tobacco Users
Preferred Plus	No use for five years Celebratory cigar allowed	No use for five years
Preferred	No use for three years Celebratory cigar allowed	No use for three years
Standard Plus	Eligible	No use for one year
Standard NS	Eligible	No use for one year
Preferred SM	Not eligible	Eligible
Standard SM	Not eligible	Eligible

Celebratory cigar

Preferred Plus and Preferred consideration is available for applicants who meet all outlined class criteria, but smoke no more than six cigars per year. Urine specimen must be negative for nicotine.

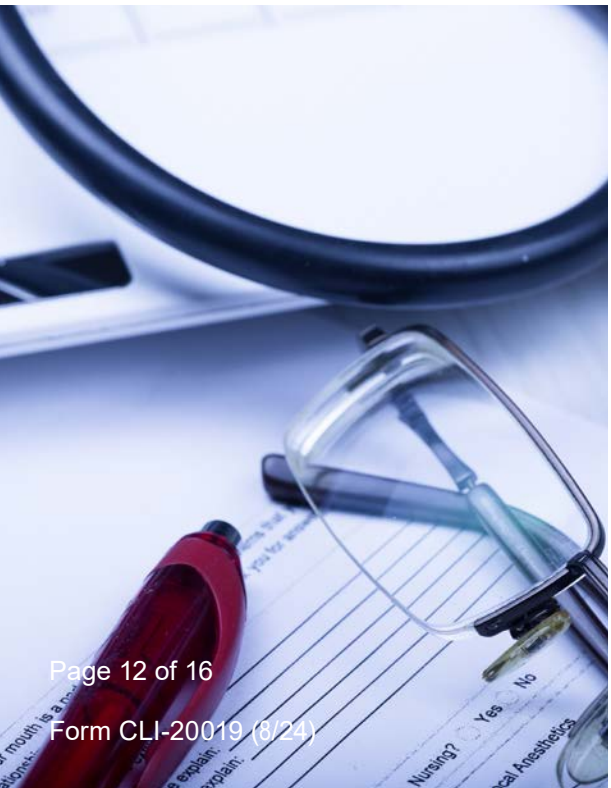
Marijuana
- Smoking
- Edibles

These guidelines apply to ages 25 and above, with individual consideration available for ages 21-24 and assumes none of these exist:
- ADHD, anxiety disorder, depression or other psychiatric condition
- Asthma or COPD
- Adverse driving record
- Aviation
- Other illicit drug use, alcohol abuse or opioid use

Marijuana Use		
Underwriting Classes	**Type**	**Frequency of Use**
Preferred Plus	Inhaled/Edibles	2 times per month or less
Standard Plus	Inhaled/Edibles	3-8 times per month
Standard Nonsmoker	Inhaled/Edibles	9-12 times per month
Standard Nonsmoker Table 2 and up	Edibles	13 times per month or more*
Standard Smoker Table 2 and up	Inhaled	
Decline	Inhaled/Edibles	Daily use

*For Type, if use includes both inhalation and edibles then refer to inhaled.

- **Medical Marijuana Use –** Class based upon medical history. Use nonsmoker classes unless Type is inhaled and frequency is 13 or more times per month, then use smoker classes.
- **Automatic decline –** Marijuana users under the age of 21



FOREIGN NATIONALS

Basic requirements include that:
- All solicitation and related aspects of the sale, including completing the life insurance application and medical examinations, must take place in the U.S.
- Policies must be owned by the insured or a U.S.-based entity with an appropriate insurable interest. A third-party, foreign entity is not permitted to own a policy on a foreign national.

Your clients who are foreign nationals applying for life insurance should have met these guidelines:
- Have a U.S. Social Security number, tax ID number or completed IRS form W-8BEN
- Be 18 years of age or older
- Resided in the U.S. two years or more
- Established medical care with a doctor in the U.S.
- Demonstrated substantial contacts within the U.S., including interactions such as:
  - Ownership of a U.S.-based business
  - Employment with a U.S. company in a professional capacity or a minimum annual income of $75,000 from a U.S. company
  - Ownership of real property in the U.S.
  - Residence with immediate family in the U.S.

Applicants may not be a politically exposed person (someone who has been entrusted with a prominent public function) or a family member of a politically exposed person. A foreign national applicant may not be a journalist, public figure, missionary, government leader or employee, member of the judiciary, law enforcement official, trade union official or foreign military personnel.

While these are the guidelines that most often help us determine eligibility for our life insurance products, some exceptions may apply.

For full consideration of your clients' unique situations, please contact your Cincinnati Life underwriter. All risks still require individual review.

FINANCIAL UNDERWRITING

Part of the underwriting process is evaluating a proposed insured's need and relating the total amount of life insurance to the potential economic loss sustained by the beneficiary(ies) if premature death occurs.

Much like a bank loan, our liability begins as soon as the coverage is in force. Therefore, the Cincinnati Life underwriter evaluates the amount of insurance coverage similar to a bank officer analyzing a loan or credit risk. The underwriter frequently requests information regarding finances, which is particularly important for business insurance or large amounts of personal insurance.

The underwriter looks for an insurable interest and assures that the total amount of insurance in force and applied for makes sense. Third-party financial information also helps expedite large cases. Provide copies of tax returns or other financial statements when available.

The financial underwriting guidelines on the following page outline items of importance to include in your cover letters and guidelines for determining justifiable amounts of coverage. In addition to the referenced items, we strongly recommend you enclose copies of any estate plan or other analysis, the most recent financial statements, and any other pertinent information.

Underwriting Tip:

The large-case market requires special handling, individual attention and a close working relationship between you and your underwriter. A cover letter outlining the need for the insurance and methodology used to calculate the face amount is a helpful tool for your underwriter. The more information you provide, the more you help streamline the underwriting process.

While we strongly recommend you include a cover letter if your client is applying for a policy of more than $1 million, the up-front, comprehensive summary of your client's needs and objectives also are helpful for lower face amount cases.

Please contact your underwriter with questions on specific situations or circumstances.

Financial underwriting guidelines for personal insurance

Purpose of insurance	Highlight in cover letter	Guidelines and formulas	
Family protection	Background of the sale, including the purpose and need for coverage (how the amount was determined), total income (includes salary, bonuses, commissions, deferred compensation but excludes investment income)	**Age** 20-30 31-40 41-50 51-60 61-65 66+	**Factor** 30 x income 25 x income 20 x income 15 x income 10 x income 5 x income
Juvenile coverage	Amount carried on all family members, full explanation of need if over $100,000	Equal amounts on siblings, no more than half the amount on parents	
Estate conservation	Net worth, details of estate analysis and personal financial statement. Include copies of each with application	**Jt. Age** 0-49 50-65 66+	**Rate** Up to 4% 4-6% 6-8% Up to 4% 4-6% 6-8% Current need only	**Years** 15 12 10 12 10 5
Personal debt repayment	Identity of the lender. Amount, purpose and duration of loan, interest rate and balance	50% to 80% of loan balance. Term of the loan should be longer than 5 years	
Charitable gift	Full description of charity, details of past association with charity, details of personal and financial insurance	Average of past 3 years' gifts multiplied by income factor (as indicated in Family Protection above)	

Financial underwriting guidelines for business insurance

Purpose of insurance	Highlight in cover letter	Guidelines and formulas	
Deferred compensation/Executive bonus	Outline the benefit need and include copy of plan document	Amount should not exceed amount outlined in the plan document	
Key person	Salary, how amount was determined, why is the applicant key, all other key employees and whether they are covered for equitable amounts	**Age** Up to 35 35-60 60+	**Factor** 10-15 x income 5-10 x income 1-5 x income
Buy-sell/Stock redemption	Business fair market value, the number of partners and their ownership percentages, details of buy/sell agreement (if all partners are not applying for coverage, what are the circumstances)	Market value of business multiplied by ownership percentage of the applicant	
Business debt repayment	Lines of credit will not be considered. Identity of lender, amount of loan and balance, purpose and duration of loan, interest rate, why applicant is key to loan repayment, any details of the agreement	50% to 80% of loan balance. Term of the loan should be longer than 5 years	

Business insurance concepts and needs

	Key Person	Buy Sell		Sec. 162 Executive Bonus
		Stock Redemption	Cross Purchase	
Premium Payor is:	Business	Business	Each partner, stockholder or key employee pays premiums for policy on the life of partner, co-stockholder or owner	Business for covered employee
Policy Owner is:	Business	Business	Each partner, stockholder or key employee owns policy on the life of partner, co-stockholder or owner	Covered employee
Beneficiary is:	Business	Business	Each partner, stockholder or key employee beneficiary of policy they own on the life of partner, co-stockholder or owner	As designated by covered employee

AGENT CONSIDERATIONS

You can do a lot prior to sending in a new application to ensure the most effective coverage for your clients.

Here are a few time-saving suggestions:

- ☐ Make sure you are licensed and appointed by Cincinnati Life to write life insurance business in the applicant's state of residence.
- ☐ Be certain each question on the application is completed.
- ☐ Provide complete details on the application even if a medical exam is required and especially if you are aware of positive medical history.
- ☐ If the requested policy will replace existing coverage, make sure all questions in reference to replacement are answered **yes**. Please provide the name of the issuing company, the policy number and submit the appropriate replacement form with the application. We need the in-force, pending and to-be-placed amounts.
- ☐ Provide complete details for **yes** answers on the application.
  - A. Medical details include:
    1. Specific condition
    2. Date(s) of diagnosis/treatment
    3. Doctor's name, address and phone number
    4. Medication or treatment
    5. Degree of recovery
  - B. Nonmedical details include:
    1. Previous ratings/declines
       - a. Specific action
       - b. Company
       - c. Reason
    2. Pending or contemplated application
       - a. Type of coverage
       - b. Amount requested
       - c. Company
       - d. Outcome or current status
    3. Foreign travel/residence or occupation change
       - a. Specific location
       - b. Date
       - c. Length of stay
       - d. Purpose of trip
       - e. Intended occupation and duties
       - f. Known hazards

       (If proposed insured intends to travel outside the United States or Canada, do not accept premium.)
    4. Arrest, license revocation/suspension
       - a. Date
       - b. Charge
       - c. Length of suspension
       - d. License number
    5. Aviation/hazardous sports
       - a. List specific involvement
       - b. Complete special questionnaire
- ☐ Be certain there is insurable interest between the proposed insured and proposed beneficiary(ies). If not absolutely clear, please provide explanation.
- ☐ If initial premium is collected, please indicate amount on application and be certain the conditional receipt is given to the applicant.

  Note: Premium cannot be accepted and conditional receipt should remain attached to the application if proposed insured:
  - A. Was admitted to a hospital or other medical facility, been advised to be admitted, scheduled surgery or had surgery performed or recommended in the past 90 days;
  - B. Received treatment by a medical professional for heart disease, stroke, cancer or AIDS (acquired immune deficiency syndrome) in the past two years; or
  - C. Intends to travel outside the United States or Canada within the next 90 days.
- ☐ Be certain the Fair Credit Reporting Act notice is removed and given to the applicant.
- ☐ Verify the signature sections:
  - A. Did you sign and answer the replacement question?
  - B. Are your name and agency name legible?
  - C. Did you indicate the city, state and date the application was completed?
  - D. Did the proposed insured sign the application appropriately?
  - E. If the proposed insured is under age 15, did you obtain the signature of a parent or guardian?
- ☐ Complete the Agent's Report section of the application. Often this information can shed additional light on an underwriting question or concern and may avoid additional correspondence and time delay.
- ☐ Include state-required HIPAA authorization.
- ☐ Complete the necessary HIV consent form.

About Cincinnati Life

The Cincinnati Life Insurance Company stands among the top U.S. life insurers with a high financial strength rating from A.M. Best Co., an independent provider of insurance ratings since 1899. Through one of its predecessor companies, Cincinnati Life has more than a century of experience serving policyholders. A wholly owned subsidiary of The Cincinnati Insurance Company, Cincinnati Life was formed in 1988 when The Life Insurance Company of Cincinnati merged with Inter-Ocean Insurance Company. Please view *cinfin.com* for current information about Cincinnati Life and its financial strength ratings.

This is not a policy. For a complete statement of the coverages and exclusions, please see the policy contract. All applicants are subject to underwriting approval. Products and riders available in most states.

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